COMPLETE LEARNING SESSION

Inflation, Price Indices and Business Cycles - Complete Learning Session

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH

CONCEPT
Define precisely

ARGUMENT
Build the case

CRITIQUE
Test the limits

APPLICATION
Write the answer

Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / SESSION INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Inflation, Price Indices and Business Cycles - Complete Learning Session

Subject: Economy | **UPSC:** Prelims, GS-II and GS-III | **Current-source cutoff:** 9 September 2026

SOURCE AND DATE CONTROL

Layer	Sources checked	Use in this package
Canonical Economy Markdown	`upsc-ai-kit\knowledge\Economy\basic\03_Inflation-Price-Indices-and-Business-Cycles.md`	Complete Core spine, Indian examples and PYQ routes
Optional Advanced Markdown	`upsc-ai-kit\knowledge\Economy\advanced\03_Inflation-Price-Indices-and-Business-Cycles.md`	Separately labelled enrichment only
OCR books	Ramesh Singh, *Indian Economy*, local PDF pp. 294-340; *Economic Survey 2025-26*, chapter 5, local official PDF	Definitions, effects, Phillips curve, business cycles, base effects and India-specific inflation analysis
MoSPI / NSO	CPI 2024 FAQ and Expert Group press note, both released 12 February 2026; January 2026 CPI release dated 12 February 2026	CPI base, weights, institutions, basket, formula, Rural/Urban/Combined and CFPI status
OEA / DPIIT	WPI User Note dated 1 June 2026 and PIB/OEA new-series release dated 15 June 2026	WPI base, major-group weights, goods-only architecture, release process and PPI transition
RBI / MPC	RBI Act framework; RBI Bulletin speech recording Gazette renewal dated 25 March 2026; RBI Phillips-curve research dated November 2021; RBI seasonality study dated November 2024	Headline-CPI target, expectations, Phillips curve, output-gap and business-cycle qualifications
National accounts	MoSPI national-accounts methodology and National Accounts Statistics 2026	GDP implicit price deflator and revision limits

Current-status rule: Every current base, weight, release or policy-process statement below carries its official source date. No current inflation rate is used as a durable fact, and no announced-but-incomplete revision is frozen as if final.

Official links checked: MoSPI CPI 2024 FAQ; MoSPI CPI Expert Group press note_(1).pdf); OEA WPI User Note; PIB/OEA WPI release; Economic Survey 2025-26, chapter 5; RBI inflation-target review; RBI Phillips-curve study; RBI seasonality study.

LEARNING CONTRACT

Rule	Application
Visual first	Every Core session starts with a process, comparison, formula map or cycle.
Basic before Advanced	The Core is independently answer-complete; optional theory follows practice.
Answer method	Every session contains a unique Claim -> named evidence -> analysis -> qualification chain.
Measurement discipline	Index, basket, weights, base, geography, frequency and vintage are stated before interpretation.
Policy discipline	Monetary policy is linked to Economy Topic 4 but supply, fiscal and structural tools remain visible.

BASIC LEARNING SESSION

SESSION 1 - Inflation language: price level, rate and six states

VISUAL FIRST

```
PRICE LEVEL (index stock at a date)
        |
        +-- rises persistently -> INFLATION
        |       +-- rate falls, level still rises -> DISINFLATION
        |       +-- very rapid/self-reinforcing -> HYPERINFLATION
        |
        +-- falls persistently -> DEFLATION
        |
        +-- deliberately lifted from deflation/slump -> REFLATION
        |
        +-- inflation + weak growth/high unemployment -> STAGFLATION
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

Inflation is a sustained increase in the general price level; the inflation rate is the percentage change in a chosen price index, not the index level itself. Disinflation is slower positive inflation, deflation is a sustained fall in the general price level, reflation is policy-led restoration of prices or demand from depressed conditions, stagflation combines inflation with stagnation and weak employment, and hyperinflation is an extreme, accelerating collapse of money's purchasing power.

ANSWER-GRABBING LINE

> A sound inflation answer begins by separating the direction of the price level from the speed at which it changes.

MUST-WRITE KEYWORDS

- **general price level**
- **rate of change**
- **disinflation**
- **deflation**
- **reflation**
- **stagflation**
- **hyperinflation**

CORE EXPLANATION

If an index rises from 100 to 110 and then to 115, prices rose in both periods but inflation slowed from 10 per cent to about 4.5 per cent. That is disinflation, not deflation. A fall from 115 to 112 is deflation for that interval. Reflation describes deliberate support when demand and prices are depressed; it is not simply another name for ordinary inflation. Stagflation breaks the easy assumption that inflation always reflects excess demand because a supply shock can raise prices while reducing output. Hyperinflation is qualitatively different because expectations, currency substitution and shrinking money demand reinforce the price spiral.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Price-level vocabulary changes the diagnosis and therefore the policy prescription.
- **Named evidence:** Ramesh Singh's local inflation chapter distinguishes inflation, deflation, reflation, stagflation and hyperinflation, while MoSPI's CPI FAQ dated 12 February 2026 defines inflation operationally as the year-on-year percentage change in CPI.
- **Analysis:** Confusing disinflation with falling prices can make an examiner believe that a moderation in inflation has restored the earlier cost of living, although the price level remains higher.
- **Qualification:** A one-month decline in a volatile index is not automatically sustained economy-wide deflation.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Ramesh Singh's local inflation chapter distinguishes inflation, deflation, reflation, stagflation and hyperinflation, while MoSPI's CPI FAQ dated 12 February 2026 defines inflation operationally as the year-on-year percentage change in CPI.
Prelims trap	Do not say that 3 per cent inflation means prices fell; it means the selected index is 3 per cent above its comparison-period level.
Mains use	Use the price-level/rate distinction in introductions and when assessing whether households have recovered purchasing power.

MINI RECAP

- Price level is a stock-like index reading.
- Inflation is its rate of change.
- Stagflation and hyperinflation require mechanisms, not decorative labels.

SESSION 2 - Inflation causes and the headline-core decomposition

VISUAL FIRST

```
SHOCK
  |-- aggregate demand > available output -> DEMAND-PULL
  |-- input cost / crop / logistics shock -> COST-PUSH
  |-- exchange rate or world commodity price -> IMPORTED
  |-- wages, margins and expectations adapt -> BUILT-IN / PERSISTENCE
  |
  +-> observed HEADLINE inflation
          |-- food component
          |-- fuel component
          +-- CORE analytical measure = usually headline less food and fuel
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

Demand-pull inflation originates in spending pressure relative to productive capacity. Cost-push or supply-shock inflation originates in higher input costs or impaired supply. Imported inflation transmits foreign prices and exchange-rate changes. Built-in inflation describes persistence through expectations, wage-setting, contracts and price-setting. Headline inflation covers the full selected basket; core inflation is an analytical exclusion measure, commonly CPI excluding food and fuel, rather than a separately consumed basket.

ANSWER-GRABBING LINE

> Inflation should be diagnosed by source, breadth, persistence and expectations before instruments are assigned.

MUST-WRITE KEYWORDS

- **demand-pull**
- **cost-push**
- **supply shock**
- **imported inflation**
- **second-round effects**
- **headline**
- **core**

CORE EXPLANATION

Demand stimulus is more inflationary near capacity than during deep slack. A crop failure can raise food prices and lower real consumption even with weak aggregate demand. A crude-oil or edible-oil shock can enter through import prices, transport and production costs. First-round relative-price changes become persistent when wage bargaining, mark-ups and expectations spread them across the basket. Headline is the lived total; core helps infer underlying persistence but may omit items that dominate poor households' budgets.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The same headline rate can conceal fundamentally different inflation processes.
- **Named evidence:** Economic Survey 2025-26 chapter 5 separates food, headline and core movements and shows that precious metals materially affected the usual core measure in 2025.
- **Analysis:** Component decomposition prevents a broad demand remedy from being applied mechanically to a narrow supply disturbance.
- **Qualification:** Core is not uniquely defined; every use must state the exclusion rule and period.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Economic Survey 2025-26 chapter 5 separates food, headline and core movements and shows that precious metals materially affected the usual core measure in 2025.
Prelims trap	Core inflation is not necessarily lower than headline inflation, and food inflation is not always temporary.
Mains use	Organise causes as demand, domestic supply, imported costs and second-round persistence.

MINI RECAP

- Headline describes the complete basket.
- Core is an analytical lens.
- Persistence converts relative-price shocks into macro inflation.

SESSION 3 - CPI Combined, Rural, Urban and CFPI: the current official architecture

VISUAL FIRST

```
MoSPI / National Statistical Office (NSO)
             |
       monthly retail prices
             |
  +----------+----------+
  |                     |
CPI Rural            CPI Urban
  +----------+----------+
             |
        CPI Combined
             |
   Consumer Food Price Index (CFPI)
   = food-focused sub-index, not core inflation
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

The Consumer Price Index measures change over time in retail prices of selected goods and services purchased by households. MoSPI's National Statistical Office compiles All-India CPI Rural, Urban and Combined; CFPI isolates the food component for analytical and policy use.

ANSWER-GRABBING LINE

> CPI is meaningful only after stating whose consumption, which geography, which basket, which weights and which base year it represents.

MUST-WRITE KEYWORDS

- **MoSPI**
- **NSO**
- **CPI Combined**
- **CPI Rural**
- **CPI Urban**
- **CFPI**
- **2024=100**
- **HCES 2023-24**

CORE EXPLANATION

MoSPI's release dated 12 February 2026 introduced the current 2024=100 series, with weights from Household Consumption Expenditure Survey 2023-24 and base prices from calendar 2024. It contains 358 weighted items arranged under COICOP 2018 into 12 divisions, 43 groups, 92 classes and 162 subclasses. Price collection covers 1,465 rural markets, 1,395 urban markets in 434 towns and 12 online markets. Elementary indices use the Jevons geometric mean; higher aggregation uses the Young/Modified Laspeyres method. Rural, Urban and Combined series answer different spatial-consumption questions; CFPI is the food-focused index, not a substitute for the full CPI.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Rebasing improves representativeness but creates a measurement break rather than an inflation shock.
- **Named evidence:** The MoSPI CPI 2024 FAQ and Expert Group material released on 12 February 2026 tie the basket and weights to HCES 2023-24 and publish linked All-India back series for Rural, Urban and Combined.
- **Analysis:** Updated consumption shares alter each item's contribution, while official linking supports historical comparison without pretending old and new raw index levels are identical.
- **Qualification:** A national combined index is an average and cannot reproduce every household's experienced inflation.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The MoSPI CPI 2024 FAQ and Expert Group material released on 12 February 2026 tie the basket and weights to HCES 2023-24 and publish linked All-India back series for Rural, Urban and Combined.
Prelims trap	CPI Combined is not an arithmetic average of Rural and Urban; MoSPI combines them using corresponding weights.
Mains use	Use CPI for household purchasing power and the monetary-policy anchor, then disaggregate by food, fuel, services and geography.

MINI RECAP

- Current base is 2024=100 as released 12 February 2026.
- Weights come from HCES 2023-24.
- CFPI is food-focused; core generally excludes food and fuel.

SESSION 4 - CPI weights and specialised labour indices

VISUAL FIRST

```
CURRENT CPI FAMILY (status checked 9 Sep 2026)

MoSPI CPI 2024=100
  -> Rural | Urban | Combined
  -> Combined division weights include:
     food/beverages 36.753; housing/utilities 17.665;
     transport 8.796; health 6.100; clothing/footwear 6.383

Labour Bureau
  -> CPI-IW 2016=100 -> industrial-worker consumption / DA use
  -> CPI-AL 2019=100 -> agricultural labour households
  -> CPI-RL 2019=100 -> rural labour households
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

Weights are expenditure shares that determine how strongly an item's price change affects an aggregate index. Specialised CPIs use population-specific baskets and therefore serve purposes different from the all-household CPI Combined.

ANSWER-GRABBING LINE

> An index weight is a statistical representation of expenditure importance, not a claim that every household spends that share.

MUST-WRITE KEYWORDS

- **expenditure weight**
- **CPI-IW**
- **CPI-AL**
- **CPI-RL**
- **Labour Bureau**
- **dearness allowance**
- **population-specific basket**

CORE EXPLANATION

MoSPI's 12 February 2026 FAQ gives the CPI 2024 Combined division weights: food and beverages 36.753, paan/tobacco/intoxicants 2.989, clothing and footwear 6.383, housing/water/electricity/gas/other fuels 17.665, furnishings and household maintenance 4.469, health 6.100, transport 8.796, information and communication 3.609, recreation/sport/culture 1.516, education services 3.333, restaurants/accommodation 3.348, and personal care/social protection/miscellaneous 5.038. The Labour Bureau's current CPI-IW series is 2016=100, based on its 2016 Working Class Family Income and Expenditure Survey and used for industrial-worker cost-of-living and indexation. Its CPI-AL and CPI-RL series use 2019=100; the revised series was implemented in June 2025 with consumption weights for agricultural- and rural-labour households.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Population-specific CPIs are complementary because their welfare and indexation purposes differ.
- **Named evidence:** MoSPI's CPI FAQ dated 12 February 2026 publishes the all-household 2024 weights; Labour Bureau methodology and releases checked on 9 September 2026 identify CPI-IW 2016=100 and CPI-AL/RL 2019=100.
- **Analysis:** Different food, housing and service shares can make the same price shock affect household groups and index-linked payments differently.
- **Qualification:** Weights describe the reference population and period; they do not remain timeless or prove an individual's cost of living.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	MoSPI's CPI FAQ dated 12 February 2026 publishes the all-household 2024 weights; Labour Bureau methodology and releases checked on 9 September 2026 identify CPI-IW 2016=100 and CPI-AL/RL 2019=100.
Prelims trap	Do not use CPI-IW, CPI-AL or CPI-RL interchangeably with CPI Combined or describe all of them as MoSPI products.
Mains use	Use specialised indices to explain distribution, wage indexation and why average inflation differs from lived inflation.

MINI RECAP

- Weights are expenditure shares.
- MoSPI and Labour Bureau compile different CPI families.
- Always date the base and weighting source.

SESSION 5 - WPI: goods-only wholesale-price architecture

VISUAL FIRST

```
OFFICE OF ECONOMIC ADVISER, DPIIT
                    |
            WPI 2022-23 = 100
                    |
      +-------------+-------------+
      |             |             |
Primary Articles  Fuel & Power  Manufactured Products
  22.75730          14.11433         63.12837
                    |
goods prices at wholesale/basic-price architecture
NO household services | NO cost-of-living claim
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

The Wholesale Price Index is a monthly goods-price index compiled by the Office of Economic Adviser in the Department for Promotion of Industry and Internal Trade; it tracks wholesale/basic-price movements in its commodity basket and excludes services from WPI itself.

ANSWER-GRABBING LINE

> WPI is a producer-side goods-price signal, not a household cost-of-living index and not the RBI's inflation target.

MUST-WRITE KEYWORDS

- **OEA**
- **DPIIT**
- **WPI**
- **goods only**
- **2022-23=100**
- **Primary Articles**
- **Fuel and Power**
- **Manufactured Products**

CORE EXPLANATION

The OEA User Note dated 1 June 2026 announced completion of the revision from 2011-12 to 2022-23. The PIB/OEA release dated 15 June 2026 introduced the new series for May 2026 and identifies 957 items. The major-group weights are Primary Articles 22.75730, Fuel and Power 14.11433 and Manufactured Products 63.12837. Gross Value of Output replaced Net Traded Value as the weight basis; crude petroleum and natural gas moved to Fuel and Power; renewable and nuclear electricity were added. WPI, Output PPI and seven Service PPIs are separate products.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** WPI helps trace commodity and pipeline cost pressure but cannot measure household welfare.
- **Named evidence:** The 15 June 2026 PIB/OEA release explicitly separates WPI from the newly released Output PPI, trial Input PPI and seven Service PPIs and states that WPI will coexist with PPI for five years to support transition.
- **Analysis:** A goods-heavy basket reacts strongly to commodity and manufacturing prices, so WPI-CPI divergence can reveal different transmission stages rather than statistical contradiction.
- **Qualification:** The announced five-year transition is a dated policy status, not a claim that WPI has already ceased.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 15 June 2026 PIB/OEA release explicitly separates WPI from the newly released Output PPI, trial Input PPI and seven Service PPIs and states that WPI will coexist with PPI for five years to support transition.
Prelims trap	The existence of Service PPIs does not put services inside WPI.
Mains use	Use WPI for goods/input-price transmission and escalation clauses, while reserving CPI for consumers and the policy target.

MINI RECAP

- OEA/DPIIT compiles WPI.
- Current base is 2022-23 from the May 2026 release.
- WPI contains goods, not services.

SESSION 6 - GDP deflator and choosing the right price measure

VISUAL FIRST

```
GDP DEFLATOR = (Nominal GDP / Real GDP) x 100

CPI                     WPI                     GDP DEFLATOR
household purchases     wholesale goods         domestic final output
fixed/revised basket    fixed/revised basket    variable current output mix
includes imports        can include traded      excludes imports directly
monthly retail use      monthly pipeline use    quarterly/annual accounts
MoSPI/NSO               OEA/DPIIT               MoSPI/NSO national accounts
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

The GDP implicit price deflator is the ratio of GDP at current prices to GDP at constant prices, multiplied by 100. It is broad because it covers prices implicit in domestically produced final goods and services, and its basket changes with current production.

ANSWER-GRABBING LINE

> CPI, WPI and the GDP deflator differ because the economic question determines the basket, weights, valuation and institutional source.

MUST-WRITE KEYWORDS

- **implicit price deflator**
- **nominal GDP**
- **real GDP**
- **domestic final output**
- **variable basket**
- **imports**
- **national accounts**

CORE EXPLANATION

CPI follows household consumption, including imported consumption and services. WPI follows a defined wholesale goods basket and excludes services. The GDP deflator covers the domestic final-output boundary, so imports are not directly included while exported domestic output is. Its changing production mix makes it conceptually Paasche-like, though it is derived from national accounts rather than priced as one fixed retail basket. It is broad but revised with nominal and volume estimates and is less timely for monthly household-inflation management.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** No single inflation measure is universally superior; fitness depends on the question.
- **Named evidence:** MoSPI's National Accounts Statistics 2026 defines the implicit deflator through current-price and constant-price aggregates, while the dated CPI and WPI releases define their narrower consumption and wholesale baskets.
- **Analysis:** Using WPI to assess household living costs omits services; using CPI to deflate all domestic output imports household weights into production; using the deflator for monthly policy sacrifices timeliness.
- **Qualification:** A GDP-deflator movement can reflect composition and revision as well as pure item-price change.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	MoSPI's National Accounts Statistics 2026 defines the implicit deflator through current-price and constant-price aggregates, while the dated CPI and WPI releases define their narrower consumption and wholesale baskets.
Prelims trap	The GDP deflator is not a fixed basket and does not directly include imported final goods.
Mains use	Compare the three indices across coverage, weights, imports, frequency, compiler, purpose and limitation.

MINI RECAP

- Deflator formula links nominal and real GDP.
- Its basket varies with domestic output.
- Index choice must follow the analytical purpose.

SESSION 7 - Index-number logic: Laspeyres, Paasche, Fisher and measurement bias

VISUAL FIRST

```
BASE QUANTITIES q0 ----------------> Laspeyres
  sum(pt*q0) / sum(p0*q0) x 100
  tends to miss substitution away from costlier items

CURRENT QUANTITIES qt -------------> Paasche
  sum(pt*qt) / sum(p0*qt) x 100
  may reflect post-price-change substitution

Fisher = square root(Laspeyres x Paasche)
  symmetric compromise; greater data demand
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

A Laspeyres index prices a base-period basket at current and base prices; a Paasche index uses current-period quantities; a Fisher index is the geometric mean of the two. These are conceptual families used to understand weighting, substitution and formula choice.

ANSWER-GRABBING LINE

> An index is an estimator built from prices, quantities, weights and rules, not a direct photograph of every transaction.

MUST-WRITE KEYWORDS

- **Laspeyres**
- **Paasche**
- **Fisher**
- **base weights**
- **current weights**
- **substitution bias**
- **quality adjustment**
- **new goods**

CORE EXPLANATION

A fixed base basket is transparent but can overstate the cost of maintaining utility when consumers substitute away from relatively expensive items. A current basket incorporates substitution but requires current quantity data and can understate the compensation needed to buy the old basket. Fisher balances both but is data-intensive. Real-world compilers also face quality change, disappearing and new goods, outlet substitution, missing prices, seasonal items and changing consumption. MoSPI's CPI 2024 method uses Jevons at elementary level and Young/Modified Laspeyres at higher aggregation, so textbook labels should not overwrite the official method.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Formula choice determines how behavioural substitution enters measured inflation.
- **Named evidence:** MoSPI's CPI FAQ dated 12 February 2026 states Jevons elementary aggregation and Young/Modified Laspeyres higher-level aggregation for CPI 2024.
- **Analysis:** The formula is therefore part of interpretation: an unchanged weight can become less representative as households alter expenditure after relative-price changes.
- **Qualification:** The usual upward/downward bias descriptions are tendencies, not guaranteed numerical results in every period.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	MoSPI's CPI FAQ dated 12 February 2026 states Jevons elementary aggregation and Young/Modified Laspeyres higher-level aggregation for CPI 2024.
Prelims trap	Do not call CPI 2024 a pure textbook Laspeyres index without naming its official two-level method.
Mains use	Use formula choice to explain why rebasing and high-frequency consumption data improve relevance but do not eliminate measurement error.

MINI RECAP

- Laspeyres fixes base quantities.
- Paasche uses current quantities.
- Fisher combines both; actual official methods can be modified.

SESSION 8 - Base effects, momentum, seasonal volatility and quality change

VISUAL FIRST

```
YEAR-ON-YEAR INFLATION
      = current monthly movement (momentum)
        + comparison with last year's level (base effect)

observed price
  |-- genuine price movement
  |-- seasonal pattern
  |-- quality/new-good adjustment
  |-- outlet/product replacement
  +-- sampling or revision noise
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

A base effect is the mechanical influence of an unusually high or low comparison-period index on a year-on-year rate. Momentum is the current-period sequential price movement. Seasonal volatility is a recurring within-year pattern, while quality and new-good adjustments seek to compare like economic value over time.

ANSWER-GRABBING LINE

> A year-on-year inflation print must be decomposed into current momentum, base arithmetic and component breadth before a policy conclusion is drawn.

MUST-WRITE KEYWORDS

- **base effect**
- **momentum**
- **seasonality**
- **quality adjustment**
- **new goods**
- **linking factor**
- **series break**

CORE EXPLANATION

If last year's price index jumps and then remains flat, the annual rate can fall when that jump leaves the comparison window even without a new price decline. Conversely, a low prior base can lift annual inflation despite moderate current momentum. India's food prices show seasonal patterns, especially for vegetables. New models, package sizes, outlets and services complicate like-for-like comparison. A rebased series needs an official back series or linking method; raw old-base and new-base levels must not be spliced.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Base effects alter measured annual inflation without constituting a new shock.
- **Named evidence:** Economic Survey 2025-26 chapter 5 explicitly decomposes recent inflation into momentum and base effects; MoSPI's 12 February 2026 FAQ publishes official linking factors and a linked CPI back series.
- **Analysis:** Separating arithmetic from fresh pressure prevents both complacency after favourable base effects and overreaction to adverse ones.
- **Qualification:** Base effects do not make inflation unreal; they explain part of the rate's timing, not the household's accumulated price level.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Economic Survey 2025-26 chapter 5 explicitly decomposes recent inflation into momentum and base effects; MoSPI's 12 February 2026 FAQ publishes official linking factors and a linked CPI back series.
Prelims trap	A lower annual rate caused by base arithmetic does not imply that the current month's prices fell.
Mains use	Use base-versus-momentum analysis when interpreting sudden changes in headline inflation.

MINI RECAP

- Annual rates depend on two index levels.
- Seasonality must be filtered from cycles.
- Rebasing needs official bridges.

SESSION 9 - Real versus nominal interest, wages and income

VISUAL FIRST

```
NOMINAL CONTRACT
  wage / interest / income in rupees
               |
               v
subtract inflation erosion
               |
REAL PURCHASING POWER

Approximate Fisher relation:
real interest r ~= nominal interest i - expected inflation pi(e)
Exact relation:
1+r = (1+i)/(1+pi(e))
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

A nominal variable is measured in current money units; a real variable adjusts for price change. The ex ante real interest rate uses expected inflation, while an ex post calculation uses realised inflation.

ANSWER-GRABBING LINE

> Inflation redistributes through the gap between contracted nominal values and realised or expected price change.

MUST-WRITE KEYWORDS

- **nominal**

- **real**
- **expected inflation**
- **Fisher relation**
- **real wage**
- **real income**
- **indexation**

CORE EXPLANATION

If a nominal wage rises 5 per cent while consumer prices rise 7 per cent, real purchasing power falls approximately 2 per cent. If a loan carries 8 per cent nominal interest and expected inflation is 5 per cent, the approximate ex ante real rate is 3 per cent; the exact rate is slightly lower. Unexpected inflation benefits a fixed-rate borrower and harms the lender because repayment buys less. Unexpected deflation reverses the transfer. Indexed bonds, dearness allowance and inflation-linked clauses reduce exposure but depend on the chosen index and adjustment lag.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The welfare effect of inflation depends on contract structure, expectation error and the relevant household basket.
- **Named evidence:** India's CPI-IW-linked dearness allowance illustrates partial indexation, while RBI's inflation-expectations surveys distinguish expected from realised inflation.
- **Analysis:** Real burdens and gains are therefore heterogeneous: borrowers, lenders, wage earners, pensioners, firms and governments face different contracts.
- **Qualification:** Borrowers do not automatically gain if rates reset, incomes fail to rise or disinflation causes unemployment.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	India's CPI-IW-linked dearness allowance illustrates partial indexation, while RBI's inflation-expectations surveys distinguish expected from realised inflation.
Prelims trap	The Fisher approximation subtracts expected inflation for an ex ante real rate, not mechanically the latest headline print.
Mains use	Use real variables to show why nominal wage, deposit or income growth can coexist with declining welfare.

MINI RECAP

- Real equals nominal adjusted for prices.
- Unexpected inflation redistributes.
- Indexation reduces but does not erase basis and timing risk.

SESSION 10 - Inflation tax, redistribution and indexed contracts

VISUAL FIRST

```
UNEXPECTED INFLATION
  |-- cash holders -> purchasing power loss
  |-- fixed nominal lenders -> real repayment loss
  |-- fixed nominal borrowers -> real debt relief
  |-- unindexed wages/pensions -> erosion
  |-- indexed contracts -> partial protection
  +-- tax system -> bracket/measurement effects

INFLATION TAX = erosion of real value of non-interest-bearing money balances
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

Inflation tax is the loss of real purchasing power imposed on holders of money balances when the price level rises; it is an economic burden, not necessarily a legislated tax. Redistribution occurs when nominal contracts fail to adjust fully or promptly.

ANSWER-GRABBING LINE

> Inflation's distributional incidence is governed by budget shares, asset-liability positions, bargaining power and indexation coverage.

MUST-WRITE KEYWORDS

- **inflation tax**
- **seigniorage**
- **creditor**
- **debtor**
- **fixed nominal contract**
- **indexation lag**
- **distribution**

CORE EXPLANATION

Poor households usually hold more wealth in cash and spend larger shares on food and fuel, while many informal workers lack automatic indexation. Fixed-rate debt loses real value under unexpected inflation, transferring from creditor to debtor, but variable-rate loans can reprice. Firms may gain or lose depending on pricing power and input contracts. Governments can receive seigniorage or nominal tax gains, yet also face higher indexed expenditure, borrowing costs and welfare pressure. Indexation protects against one chosen benchmark, not every household's basket.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Inflation operates like a non-uniform tax because exposure and protection are uneven.
- **Named evidence:** Labour Bureau CPI-IW usage for dearness allowance contrasts with the absence of comparable automatic protection for many informal workers.
- **Analysis:** The aggregate rate therefore conceals horizontal and vertical redistribution across income groups and balance sheets.
- **Qualification:** The borrower-lender result assumes fixed nominal contracts and unexpected inflation; renegotiation and floating rates alter it.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Labour Bureau CPI-IW usage for dearness allowance contrasts with the absence of comparable automatic protection for many informal workers.
Prelims trap	Do not claim all borrowers gain or all asset holders hedge inflation.
Mains use	Add distributional incidence after discussing growth, savings and monetary transmission.

MINI RECAP

- Cash balances bear inflation tax.
- Unexpected inflation redistributes fixed contracts.
- Indexation is partial and index-specific.

SESSION 11 - Phillips curve, expectations and NAIRU

VISUAL FIRST

```
SHORT RUN
unexpected demand pressure -> output/employment rises -> inflation rises
                     inverse unemployment-inflation relation

EXPECTATIONS ADJUST
workers/firms incorporate inflation -> short-run curve shifts

LONG RUN
unemployment returns toward structural/equilibrium rate
-> no permanent inflation-unemployment trade-off
-> long-run Phillips curve vertical

NAIRU = estimated unemployment rate consistent with non-accelerating inflation
        not a fixed observable law
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

The Phillips curve describes a short-run relation between inflation and economic slack. The expectations-augmented version allows only a temporary trade-off because expected inflation adjusts. NAIRU is the estimated unemployment rate consistent with stable, non-accelerating inflation, not the lowest socially desirable unemployment rate.

ANSWER-GRABBING LINE

> The Phillips curve is a conditional diagnostic of demand pressure, not a menu guaranteeing permanently lower unemployment through higher inflation.

MUST-WRITE KEYWORDS

- **short-run Phillips curve**
- **expectations-augmented**
- **vertical long run**
- **NAIRU**
- **supply shock**
- **sacrifice ratio**

CORE EXPLANATION

Unexpected demand expansion can temporarily raise output and employment where prices or wages are sticky. Once workers and firms revise expectations, wage and price setting incorporates the higher inflation, shifting the short-run curve. In the long run, unemployment is shaped by labour-market structure, skills, matching and institutions, so repeatedly surprising inflation cannot permanently hold it below equilibrium. Adverse supply shocks can move inflation and unemployment upward together, producing stagflation.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Expectations and supply shocks convert a simple inverse relation into a conditional and shifting one.
- **Named evidence:** RBI's November 2021 Bulletin study found the Indian Phillips curve alive but convex: flatter at low or negative output gaps and steeper at high positive gaps.
- **Analysis:** This supports counter-cyclical policy while warning against treating one stable coefficient or unemployment threshold as permanent.

- **Qualification:** NAIRU and potential output are unobservable estimates and especially uncertain in an informal, structurally changing labour market.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's November 2021 Bulletin study found the Indian Phillips curve alive but convex: flatter at low or negative output gaps and steeper at high positive gaps.
Prelims trap	A vertical long-run Phillips curve does not mean demand policy has no short-run effects.
Mains use	Use expectations adjustment and supply shocks to qualify any growth-inflation trade-off.

MINI RECAP

- Short-run trade-off is conditional.
- Expectations shift the curve.
- NAIRU is estimated, not directly observed.

SESSION 12 - Business-cycle phases and the output gap

VISUAL FIRST

```
actual output around potential trend

TROUGH -> RECOVERY -> EXPANSION -> PEAK -> SLOWDOWN/CONTRACTION -> TROUGH
          negative gap closes       positive gap may emerge

output gap = (actual output - potential output) / potential output x 100
negative -> slack, weak demand | positive -> capacity pressure
potential output is estimated and revised
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

A business cycle is a recurrent but irregular fluctuation of economic activity around its trend or potential path. The output gap compares actual with estimated potential output; it is positive above capacity-consistent potential and negative below it.

ANSWER-GRABBING LINE

> A cycle is diagnosed from co-movement, persistence and breadth across activity, jobs, credit and demand, not from one quarter or one indicator.

MUST-WRITE KEYWORDS

- **trough**
- **recovery**
- **expansion**
- **peak**
- **contraction**
- **potential output**
- **output gap**
- **real-time revision**

CORE EXPLANATION

Recovery begins as demand, production and employment turn upward from a trough. Expansion broadens and may close spare capacity; a peak precedes deceleration or contraction. A negative output gap usually weakens demand inflation but cannot prevent food, fuel or logistics shocks. A positive gap can intensify wage and pricing pressure. Potential output is not observed; filters and structural models revise it as GDP data and the economy's supply capacity change.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The output gap links the phase of the cycle to inflation pressure but must be treated as an estimate.
- **Named evidence:** RBI monetary-policy analysis uses output-gap estimates, and its November 2021 Phillips-curve study reports a steeper inflation response at high positive gaps.
- **Analysis:** Policy should therefore combine the sign of the estimated gap with inflation composition, financial conditions and supply evidence.
- **Qualification:** A negative gap does not guarantee disinflation when potential output itself has fallen or supply shocks dominate.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI monetary-policy analysis uses output-gap estimates, and its November 2021 Phillips-curve study reports a steeper inflation response at high positive gaps.
Prelims trap	Potential GDP is not the maximum imaginable output; it is a sustainable, non-inflationary estimate.
Mains use	Place output gap between shock diagnosis and the intensity of monetary/fiscal response.

MINI RECAP

- Cycles fluctuate around trend.
- Output gap is model-dependent.
- Supply inflation can coexist with slack.

SESSION 13 - Indicators, recession labels and India's dating limitation

VISUAL FIRST

```
LEADING                 COINCIDENT              LAGGING
new orders              real output              unemployment duration
expectations            production/sales         some wage/credit stress
yield/financial signals employment                realised defaults
          \                  |                   /
           +------ triangulate turning point -----+

Two negative q-o-q quarters = common 'technical recession' rule
BUT -> needs seasonally adjusted data and is not a complete cycle-dating method
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

Leading indicators tend to change before aggregate activity, coincident indicators move broadly with it, and lagging indicators respond after the turn. A technical recession is a shorthand convention, commonly two consecutive quarter-on-quarter contractions, not a universal statutory definition.

ANSWER-GRABBING LINE

> Recession dating requires a dashboard and chronology; the two-quarter rule is a screening device, not a complete economic diagnosis.

MUST-WRITE KEYWORDS

- **leading**
- **coincident**
- **lagging**
- **technical recession**
- **seasonal adjustment**
- **turning point**
- **diffusion**

CORE EXPLANATION

New orders, expectations and selected financial indicators may lead; output, sales and employment are broadly coincident; unemployment duration and defaults can lag. Year-on-year growth can stay positive while sequential momentum weakens, and quarter-on-quarter comparisons can be distorted without seasonal adjustment. RBI's November 2024 seasonality study shows material seasonal patterns in Indian GDP components and high-frequency indicators. India has no statutory recession-dating committee equivalent to the United States' NBER, so claims should identify the data, adjustment, breadth and method used.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A business-cycle label is an evidence-based dating judgment, not a synonym for slower growth.
- **Named evidence:** RBI's November 2024 Bulletin study applies seasonal adjustment to 78 monthly and 25 quarterly Indian indicators and records pronounced seasonal variation in real GDP components.
- **Analysis:** Triangulation avoids calling a seasonal or sector-specific dip an economy-wide recession.
- **Qualification:** The common two-quarter rule can be informative when based on seasonally adjusted real GDP, but it neither measures severity nor settles turning points by itself.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's November 2024 Bulletin study applies seasonal adjustment to 78 monthly and 25 quarterly Indian indicators and records pronounced seasonal variation in real GDP components.
Prelims trap	A fall in the positive annual growth rate is a slowdown, not necessarily recession or contraction.
Mains use	Define the metric before describing India's cycle and acknowledge the absence of one official dating authority.

MINI RECAP

- Indicators differ by timing.
- Seasonal adjustment matters.
- Technical recession is shorthand, not a complete definition.

SESSION 14 - Food, fuel and imported inflation in India

VISUAL FIRST

```
WEATHER / CROP / DISEASE
          -> food supply -> retail food prices
STORAGE / TRANSPORT / MANDI FRICTIONS
          -> seasonal and spatial volatility
WORLD OIL / EDIBLE OIL / FERTILISER + EXCHANGE RATE
          -> landed cost -> freight/input cost -> wider prices
ADMINISTERED PRICES / TAXES / SUBSIDIES
          -> alter timing and pass-through
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

Food inflation reflects prices of food items in consumer baskets; fuel inflation reflects energy-related consumer prices; imported inflation is domestic price pressure transmitted through foreign prices, freight, duties and the exchange rate.

ANSWER-GRABBING LINE

> India's food and fuel inflation is best explained through production, logistics, external prices, pass-through and expectations rather than a single demand variable.

MUST-WRITE KEYWORDS

- **food inflation**
- **fuel**
- **imported inflation**
- **exchange-rate pass-through**
- **buffer stock**
- **perishables**
- **second-round effects**

CORE EXPLANATION

Weather and crop disease affect harvests; storage, transport and market concentration influence farm-to-retail transmission; perishables create sharp seasonal movement. Imported crude affects transport, fertiliser and manufacturing. Edible oils transmit world prices more directly where import dependence is high. Taxes, subsidies, administered prices and trade measures can delay or reshape pass-through. Repeated shocks can influence wages and expectations, converting a narrow food or fuel disturbance into broader persistence.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Food inflation is a chain problem from farm conditions to retail markets, while imported inflation is a pass-through problem.
- **Named evidence:** Economic Survey 2025-26 chapter 5 documents the role of favourable agriculture and policy interventions in food disinflation and uses pulses and TOP vegetables to show commodity-specific volatility.
- **Analysis:** The causal chain identifies where irrigation, storage, buffers, competition, calibrated trade and monetary signalling can each operate.
- **Qualification:** Administrative suppression can reduce a current price but damage producer incentives or future supply if prolonged.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Economic Survey 2025-26 chapter 5 documents the role of favourable agriculture and policy interventions in food disinflation and uses pulses and TOP vegetables to show commodity-specific volatility.
Prelims trap	Food and fuel exclusion from a core measure does not make their welfare or second-round effects unimportant.
Mains use	For food inflation, separate production, post-harvest, market, trade and expectation channels before evaluating RBI.

MINI RECAP

- Food shocks are commodity- and chain-specific.
- Imported costs spread through direct and indirect channels.
- Supply tools and monetary credibility are complements.

SESSION 15 - Monetary policy cross-link: what RBI and the MPC can and cannot do

VISUAL FIRST

```
MPC raises policy rate / tightens conditions
             |
   money-market and bank rates
             |
 credit demand + asset prices + exchange rate + expectations
             |
 aggregate demand and second-round price setting
             |
 inflation with variable lags

Cannot directly create crops, storage, fuel or transport capacity.
Detailed instruments -> Economy Topic 4.
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

Monetary policy influences inflation through interest-rate, credit, liquidity, exchange-rate, asset-price and expectations channels. India's flexible inflation-targeting framework uses headline CPI as the target measure while keeping growth in mind.

ANSWER-GRABBING LINE

> RBI can restrain generalised demand and anchor expectations, but it cannot remove the physical source of a crop, logistics or imported-energy shock.

MUST-WRITE KEYWORDS

- **RBI**
- **MPC**
- **headline CPI**
- **repo rate**
- **expectations**
- **transmission lag**
- **flexible inflation targeting**

CORE EXPLANATION

The RBI Act framework, institutionalised in 2016, gives the six-member MPC the repo-rate decision. The Government's Gazette notification dated 25 March 2026 renewed the 4 per cent headline-CPI target with a tolerance band of plus or minus 2 percentage points through March 2031. A rate increase restrains interest-sensitive demand and signals commitment, but transmission is delayed and uneven. It can limit second-round effects from food or fuel, yet cannot directly expand vegetable supply or lower the world oil price.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Monetary policy is strongest against broad demand and expectations, and weaker against the first-round physical supply shock.
- **Named evidence:** RBI's 2026 framework review retained headline CPI, the 4 per cent point target and the 2-6 per cent tolerance band for 2026-31.

- **Analysis:** Credible signalling can stop temporary shocks from becoming wage-price persistence even when the original commodity price is outside RBI control.
- **Qualification:** Aggressive tightening during a negative output gap can raise the output and employment cost without producing the missing commodity.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's 2026 framework review retained headline CPI, the 4 per cent point target and the 2-6 per cent tolerance band for 2026-31.
Prelims trap	Headline targeting does not imply that the MPC reacts mechanically to every food-price spike.
Mains use	Cross-reference Topic 4 for instruments; here assess source, persistence, expectations and the limits of rate policy.

MINI RECAP

- Headline CPI remains the target through March 2031.
- Transmission works with lags.
- Supply repair lies mainly outside monetary policy.

SESSION 16 - Fiscal, supply-side and administrative responses

VISUAL FIRST

```
DIAGNOSIS -> MATCHED RESPONSE

demand overheating -> calibrated fiscal consolidation + monetary restraint
food shortage      -> production, irrigation, buffers, logistics, imports
fuel shock         -> tax/subsidy calibration + efficiency + diversification
market friction    -> competition, information, anti-hoarding enforcement
income shock       -> targeted transfers / safety nets

Every tool -> check lag + fiscal cost + producer incentive + federal role
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

Fiscal and supply-side inflation management changes aggregate demand, taxes, subsidies, public stocks, trade conditions, productive capacity and market functioning. Administrative tools can smooth shortages but cannot permanently substitute for supply response.

ANSWER-GRABBING LINE

> The efficient anti-inflation mix assigns each instrument to the market failure or macroeconomic pressure it can actually influence.

MUST-WRITE KEYWORDS

- **fiscal stance**
- **buffer release**
- **trade calibration**
- **logistics**
- **competition**
- **targeted transfer**
- **producer incentive**

CORE EXPLANATION

Demand-led inflation may require lower deficit impulse or better expenditure timing alongside monetary restraint. Food shortages may need buffer releases, quicker movement, calibrated imports, anti-hoarding enforcement and medium-term productivity or storage investment. Fuel relief through tax cuts or subsidies can soften pass-through but costs revenue and may weaken conservation signals. Broad price controls risk shortages; sudden export restrictions can harm farm incentives and policy credibility. Targeted transfers protect vulnerable households without pretending to lower the index mechanically.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** Supply-side policy improves the inflation-output trade-off when it expands or unlocks real availability.
- **Named evidence:** Economic Survey 2025-26 chapter 5 discusses pulses management, TOP vegetable volatility and the role of agricultural conditions and timely interventions.
- **Analysis:** Removing the bottleneck lowers prices while protecting output, whereas pure demand compression achieves disinflation partly by sacrificing activity.
- **Qualification:** Short-run imports or buffer releases need transparent triggers and an exit path to protect fiscal sustainability and producer incentives.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	Economic Survey 2025-26 chapter 5 discusses pulses management, TOP vegetable volatility and the role of agricultural conditions and timely interventions.
Prelims trap	A transfer offsets welfare loss but does not by itself reduce the measured market price.
Mains use	Present a time-horizon matrix: immediate relief, medium-term supply repair, long-term resilience and monetary anchoring.

MINI RECAP

- Match tool to cause.
- Count fiscal and incentive costs.
- Targeted relief and price control are not the same.

SESSION 17 - Growth-inflation trade-off and coordinated stabilisation

VISUAL FIRST

```
DEMAND SHOCK
inflation up + output above potential
-> restraint can reduce both pressure and excess demand

ADVERSE SUPPLY SHOCK
inflation up + output down
-> hard trade-off: tightening lowers demand, not the lost supply

FAVOURABLE SUPPLY REFORM
capacity/productivity up
-> inflation pressure down + sustainable growth up
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

The growth-inflation trade-off is the potential short-run conflict between stabilising prices and supporting output; its severity depends on whether inflation comes from demand, supply, expectations or external costs.

ANSWER-GRABBING LINE

> There is no single growth-inflation trade-off: demand overheating, supply contraction and productivity expansion generate different combinations.

MUST-WRITE KEYWORDS

- **policy mix**
- **sacrifice ratio**
- **credibility**
- **potential growth**
- **fiscal-monetary coordination**
- **supply reform**

CORE EXPLANATION

When demand exceeds capacity, calibrated restraint can reduce inflation with limited durable output loss because it removes excess pressure. When supply contracts, the economy faces stagflation: tighter demand may prevent generalisation but cannot restore potential output. Credible communication lowers the sacrifice required for disinflation. Public investment, logistics, competition, energy diversification and agricultural resilience can shift supply outward, improving growth and price stability together. Poorly timed fiscal stimulus can offset monetary restraint; indiscriminate consolidation can also weaken productive capacity.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** The policy frontier improves when credibility is paired with measures that raise potential output.
- **Named evidence:** RBI's 2026 inflation-target review reports lower and more stable inflation under the framework while preserving the statutory growth qualification; the Survey's food analysis shows the value of supply improvement.
- **Analysis:** Coordination reduces the burden placed on the repo rate and avoids treating every inflation episode as identical.
- **Qualification:** Coordination must not become fiscal dominance or pressure to tolerate persistent inflation.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	RBI's 2026 inflation-target review reports lower and more stable inflation under the framework while preserving the statutory growth qualification; the Survey's food analysis shows the value of supply improvement.
Prelims trap	Price stability and growth are not always opposites; unstable inflation itself damages investment, saving and real income.
Mains use	Conclude with credible nominal anchoring plus productivity-enhancing supply reform and targeted protection.

MINI RECAP

- Shock type determines trade-off.
- Credibility reduces disinflation cost.
- Supply reform can support both growth and price stability.

SESSION 18 - Integrated diagnostic and answer-writing framework

VISUAL FIRST

```
1 DEFINE -> price level or inflation rate?
2 IDENTIFY -> CPI / CFPI / WPI / GDP deflator / specialised CPI
3 DATE -> base, weights, release, provisional/final status
4 DIAGNOSE -> demand / supply / imported / expectations
5 LOCATE CYCLE -> output gap + indicators + uncertainty
6 TRACE -> wages, margins, real income, interest, distribution
7 ASSIGN -> RBI/MPC + fiscal + supply + protection
8 QUALIFY -> lag, revision, household heterogeneity, incentive cost
9 CONCLUDE -> price stability with productive capacity and equity
```

Visual purpose: establish the concept and decision path before prose.

DEFINITION

An inflation diagnostic is a disciplined sequence that connects the measured index to the causal shock, cycle position, transmission, distribution and instrument assignment.

ANSWER-GRABBING LINE

> The examiner rewards a bounded causal chain: measure correctly, diagnose the shock, match the institution and acknowledge the residual trade-off.

MUST-WRITE KEYWORDS

- **index-purpose fit**
- **vintage**
- **breadth**
- **persistence**
- **output gap**
- **policy assignment**
- **qualification**

CORE EXPLANATION

Begin with the exact concept and index. State base and weight vintage if the question turns on measurement. Separate broad demand from a relative-price shock, then test whether wages, margins and expectations are spreading it. Place the shock against estimated slack. Trace real-income, real-interest and balance-sheet effects. Assign demand and expectations to monetary policy, taxes and spending to fiscal policy, physical bottlenecks to supply measures, and welfare loss to targeted protection. End with lags, data revisions and distributional limits.

CLAIM -> NAMED EVIDENCE -> ANALYSIS -> QUALIFICATION

- **Claim:** A complete answer is organised by causation rather than by a list of schemes.
- **Named evidence:** The 2024 GS-III food-inflation question requires causes and an evaluation of RBI effectiveness, while the 2022 GS-II question requires inflation-employment management beyond welfare schemes.
- **Analysis:** The diagnostic sequence answers both demands by distinguishing original shock, second-round persistence and institutional capability.
- **Qualification:** No single index, model or policy instrument eliminates uncertainty; the conclusion should remain conditional on source and persistence.

EVIDENCE, PRELIMS TRAP AND MAINS USE

Exam tool	Topic-specific use
Evidence	The 2024 GS-III food-inflation question requires causes and an evaluation of RBI effectiveness, while the 2022 GS-II question requires inflation-employment management beyond welfare schemes.
Prelims trap	Do not prescribe repo-rate changes before identifying whether the pressure is demand-led, supply-led or merely a base effect.
Mains use	Use the nine-step visual as a 10-, 15- or 20-mark answer skeleton.

MINI RECAP

- Measure before interpreting.
- Diagnose before prescribing.
- Conclude with a qualified policy mix.

Practice contract: Exactly 32 original MCQs appear before PYQs. Correct answers follow `ABCD` repeated eight times. Every option has a substantive, option-specific explanation and every question has a unique examiner trap.

BASIC MCQS / REMEDIATION

MCQ 1

A fall in the inflation rate from 8 per cent to 5 per cent while the CPI still rises is

- A. disinflation
- B. deflation
- C. reflation
- D. hyperinflation

Answer: A.

Option-specific explanations:

- **A - Correct:** Disinflation means positive inflation has slowed, so the price level can still rise.
- **B - Incorrect:** Deflation requires a sustained fall in the general price level, which is not described.
- **C - Incorrect:** Reflation is deliberate support from depressed demand or prices, not ordinary moderation.
- **D - Incorrect:** Hyperinflation is an extreme accelerating rise, the opposite of the stated slowing.

Examiner trap 1: A lower inflation rate is not a lower price level.

MCQ 2

Which description is most accurate?

- A. Reflation is any increase in inflation
- B. Stagflation combines inflation with weak growth or high unemployment
- C. Deflation means slower inflation
- D. Hyperinflation is a one-off food spike

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Reflation is specifically associated with restoring demand or prices from depressed conditions.
- **B - Correct:** Stagflation joins adverse price and activity outcomes, often after a supply shock.
- **C - Incorrect:** Slower positive inflation is disinflation; deflation means the general price level falls.
- **D - Incorrect:** Hyperinflation is broad, extreme and self-reinforcing rather than one relative-price movement.

Examiner trap 2: Stagflation invalidates the assumption that inflation always signals excess demand.

MCQ 3

A broad rise in wages and mark-ups after repeated food shocks is best described as

- A. a pure base effect
- B. deflationary adjustment
- C. second-round or built-in inflation
- D. a change in GDP accounting

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A base effect comes from the comparison period and does not itself create wage-price persistence.
- **B - Incorrect:** Deflation is a falling general price level, not broadening inflation.
- **C - Correct:** Expectations and contracts can propagate an initial shock into persistent general inflation.
- **D - Incorrect:** GDP-accounting changes may alter measurement but do not explain this wage-price mechanism.

Examiner trap 3: Separate the first-round commodity shock from second-round generalisation.

MCQ 4

Which statement about core inflation is correct?

- A. It is always below headline inflation
- B. It is MoSPI's only legally targeted index
- C. It excludes every service price
- D. It is an analytical exclusion measure whose definition must be stated

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Food or fuel deflation can make headline lower than core, so no fixed ordering exists.
- **B - Incorrect:** India's statutory target is headline CPI, not a core index.
- **C - Incorrect:** Core measures usually retain many services and other non-food, non-fuel items.
- **D - Correct:** Core is constructed for underlying-pressure analysis and can vary by exclusion convention.

Examiner trap 4: Never use core inflation without specifying what has been excluded.

MCQ 5

Under MoSPI's current CPI series introduced on 12 February 2026, the base is

- A. 2024=100
- B. 2012=100
- C. 2022-23=100
- D. 2016=100

Answer: A.

Option-specific explanations:

- **A - Correct:** MoSPI introduced CPI 2024=100 for current releases on 12 February 2026.
- **B - Incorrect:** The 2012 series was the preceding CPI base, not the current release base.
- **C - Incorrect:** 2022-23 is the new WPI base, not the CPI base. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** 2016=100 is associated with the current CPI-IW series. It fails this question's stated measure, institution or boundary.

Examiner trap 5: Keep CPI, WPI and labour-index base years separate.

MCQ 6

The expenditure weights of CPI 2024 are primarily derived from

- A. Annual Survey of Industries 2023-24
- B. Household Consumption Expenditure Survey 2023-24
- C. National Accounts Supply Table 2022-23
- D. Working Class Family Income and Expenditure Survey 2016

Answer: B.

Option-specific explanations:

- **A - Incorrect:** ASI concerns industrial establishments and is not the household-consumption weight source.
- **B - Correct:** HCES 2023-24 supplies the consumption shares used in CPI 2024.
- **C - Incorrect:** The Supply Table is relevant to PPI weighting, not CPI household weights.
- **D - Incorrect:** The 2016 family survey underpins CPI-IW, not the all-household CPI 2024.

Examiner trap 6: A base year and a weight-reference survey are related but distinct facts.

MCQ 7

Which combination states MoSPI's CPI 2024 aggregation methods correctly?

- A. Arithmetic mean at every level
- B. Paasche below and Fisher above
- C. Jevons at elementary level and Young/Modified Laspeyres at higher level
- D. GDP deflator below and WPI above

Answer: C.

Option-specific explanations:

- **A - Incorrect:** The official method does not use one arithmetic mean at all levels.
- **B - Incorrect:** Paasche and Fisher are useful concepts but are not the stated CPI 2024 combination.
- **C - Correct:** MoSPI's FAQ names Jevons for elementary indices and Young/Modified Laspeyres higher up.
- **D - Incorrect:** GDP deflator and WPI are separate measures, not CPI aggregation formulae.

Examiner trap 7: Do not replace the official two-level formula with a generic textbook label.

MCQ 8

CPI Combined is produced by

- A. using only urban outlets
- B. adding CPI Rural and Urban without weights
- C. using WPI weights for common commodities
- D. combining rural and urban indices with their corresponding weights

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Combined coverage includes rural as well as urban consumption.
- **B - Incorrect:** An unweighted average would ignore their expenditure importance.
- **C - Incorrect:** WPI commodity weights belong to a different producer-side architecture.
- **D - Correct:** MoSPI uses the relevant rural and urban weights in the combined index.

Examiner trap 8: Combined does not mean a simple arithmetic average.

MCQ 9

The Consumer Food Price Index is best understood as

- A. a food-focused index within the consumer-price system
- B. WPI Food Index under a different name
- C. core inflation excluding services
- D. a GDP-deflator component

Answer: A.

Option-specific explanations:

- **A - Correct:** CFPI tracks food prices in the consumer-price framework for Rural, Urban and Combined.
- **B - Incorrect:** WPI Food Index combines food articles and manufactured food products in WPI.
- **C - Incorrect:** Core usually excludes food and fuel; it is not CFPI. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** The GDP deflator is derived from national accounts, not a CFPI component.

Examiner trap 9: CFPI and WPI Food Index belong to different price stages and baskets.

MCQ 10

Which pairing is correct as checked on 9 September 2026?

- A. CPI-IW: MoSPI, base 2024
- B. CPI-IW: Labour Bureau, base 2016
- C. CPI-AL: RBI, base 2019
- D. CPI-RL: OEA, base 2022-23

Answer: B.

Option-specific explanations:

- **A - Incorrect:** MoSPI compiles the all-household CPI family, not CPI-IW.
- **B - Correct:** The Labour Bureau's current CPI-IW series uses 2016=100.
- **C - Incorrect:** CPI-AL is a Labour Bureau index, not an RBI product. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** CPI-RL is also Labour Bureau; 2022-23 is the WPI base. It fails this question's stated measure, institution or boundary.

Examiner trap 10: Match each specialised CPI to its compiler and reference population.

MCQ 11

What distinguishes CPI-AL from CPI-RL?

- A. One contains only food and the other only services
- B. One is monthly and the other annual
- C. They represent agricultural-labour and broader rural-labour household baskets respectively
- D. They use WPI commodity weights

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Both baskets cover broader consumption, not mutually exclusive food and services.
- **B - Incorrect:** Both are released as consumer price indices rather than this monthly-annual split.
- **C - Correct:** The population reference differs: agricultural labourers versus rural labourers.
- **D - Incorrect:** Their weights arise from labour-household consumption, not WPI output weights.

Examiner trap 11: Similar rural names do not make the reference populations identical.

MCQ 12

Why can CPI-IW-linked dearness allowance fail to protect every worker?

- A. CPI-IW contains no food
- B. It is a wholesale index
- C. It has no base year
- D. Coverage, basket and indexation apply mainly to specified organised groups, not all informal workers

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Food and beverages carry material weight in CPI-IW. It fails this question's stated measure, institution or boundary.
- **B - Incorrect:** CPI-IW measures retail consumer prices for industrial workers.
- **C - Incorrect:** Its current series has a stated 2016 base. It fails this question's stated measure, institution or boundary.
- **D - Correct:** Many informal workers lack automatic contracts linked to CPI-IW.

Examiner trap 12: An indexation mechanism protects only those covered by its contract and lag.

MCQ 13

Which institution compiles India's WPI?

- A. Office of Economic Adviser, DPIIT
- B. National Statistical Office alone
- C. Reserve Bank of India
- D. Labour Bureau

Answer: A.

Option-specific explanations:

- **A - Correct:** The Office of Economic Adviser in DPIIT compiles and releases WPI.
- **B - Incorrect:** NSO compiles CPI and national accounts rather than WPI.
- **C - Incorrect:** RBI uses price data for policy but does not compile WPI.
- **D - Incorrect:** Labour Bureau compiles specialised worker and labourer CPIs.

Examiner trap 13: Policy user and statistical compiler are different roles.

MCQ 14

Under the WPI 2022-23 series released for May 2026, which major group has the largest weight?

- A. Primary Articles
- B. Manufactured Products
- C. Fuel and Power
- D. Services

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Primary Articles carry 22.75730, below manufacturing. It fails this question's stated measure, institution or boundary.
- **B - Correct:** Manufactured Products carry 63.12837, the largest major-group weight.
- **C - Incorrect:** Fuel and Power carry 14.11433. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** Services are not a WPI major group. It fails this question's stated measure, institution or boundary.

Examiner trap 14: A goods-only index can still have a dominant manufactured-products weight.

MCQ 15

Which statement about WPI is correct?

- A. It is the household cost-of-living index
- B. It includes all services through Service PPI
- C. It is a goods-only wholesale/basic-price architecture and Service PPIs are separate
- D. It is the statutory inflation target

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Household living costs are represented by consumer indices.
- **B - Incorrect:** Separate Service PPIs do not become part of WPI. It fails this question's stated measure, institution or boundary.
- **C - Correct:** The official 15 June 2026 release distinguishes WPI from seven Service PPIs.
- **D - Incorrect:** The statutory target uses headline CPI. It fails this question's stated measure, institution or boundary.

Examiner trap 15: Do not smuggle separate PPI services into the WPI basket.

MCQ 16

The official 15 June 2026 transition statement implies that

- A. WPI ceased immediately in May 2026
- B. only the old WPI base remains valid
- C. PPI was abandoned
- D. WPI and PPI coexist for five years before the announced WPI discontinuation

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The release expressly provides a transition period rather than immediate cessation.
- **B - Incorrect:** The 2011-12 series was replaced by the 2022-23 series. It fails this question's stated measure, institution or boundary.
- **C - Incorrect:** Output, trial Input and selected Service PPIs were introduced, not abandoned.
- **D - Correct:** The dated plan allows contractual users time to move from WPI to PPI.

Examiner trap 16: State an announced transition as dated status, not as a completed future event.

MCQ 17

The GDP deflator is calculated as

- A. nominal GDP divided by real GDP, multiplied by 100
- B. CPI divided by WPI
- C. real GDP divided by nominal GDP
- D. exports divided by imports

Answer: A.

Option-specific explanations:

- **A - Correct:** This ratio is the national-accounts implicit price deflator.
- **B - Incorrect:** CPI and WPI compare different baskets and do not form the deflator.
- **C - Incorrect:** The inverse would move oppositely and is not the conventional formula.
- **D - Incorrect:** Trade ratios have no role in the deflator identity. It fails this question's stated measure, institution or boundary.

Examiner trap 17: Use consistent current-price and constant-price GDP vintages.

MCQ 18

Which item is directly outside the GDP deflator's domestic-production boundary?

- A. A domestically produced exported machine
- B. An imported final consumer good
- C. A government-produced service
- D. A domestically produced construction service

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Exports are domestic output and therefore enter GDP. It fails this question's stated measure, institution or boundary.
- **B - Correct:** Imports are excluded from domestic production, though they can enter CPI consumption.
- **C - Incorrect:** Government non-market services are included through national-account valuation.
- **D - Incorrect:** Domestic construction is part of output. It fails this question's stated measure, institution or boundary.

Examiner trap 18: The GDP deflator follows production, not residents' purchases.

MCQ 19

A Laspeyres price index uses

- A. current quantities in both periods
- B. no quantity weights
- C. base-period quantities as weights
- D. the geometric mean of two price indices by definition

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Current quantities define a Paasche-type comparison. It fails this question's stated measure, institution or boundary.
- **B - Incorrect:** Every aggregate price index requires some weighting structure.
- **C - Correct:** Laspeyres reprices the base basket using current prices.
- **D - Incorrect:** The geometric mean of Laspeyres and Paasche is Fisher. It fails this question's stated measure, institution or boundary.

Examiner trap 19: The basket period, not merely the price period, identifies the formula.

MCQ 20

The Fisher ideal index equals

- A. Laspeyres minus Paasche
- B. Paasche divided by Laspeyres
- C. the arithmetic mean of current and base prices
- D. the square root of the product of Laspeyres and Paasche

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Subtraction has no role in the standard Fisher formula.
- **B - Incorrect:** A ratio would measure divergence, not the Fisher index.
- **C - Incorrect:** Fisher combines indices, not raw prices by this rule. It fails this question's stated measure, institution or boundary.
- **D - Correct:** The geometric mean balances base- and current-weighted measures.

Examiner trap 20: Fisher's symmetry comes with greater current-quantity data needs.

MCQ 21

A standard substitution-bias concern with a fixed base basket is that it may

- A. miss consumers shifting away from relatively costlier items
- B. exclude all services automatically
- C. convert retail prices into wholesale prices
- D. make the index equal the GDP deflator

Answer: A.

Option-specific explanations:

- **A - Correct:** Fixed weights can retain purchases that consumers reduce after relative-price changes.
- **B - Incorrect:** Service coverage depends on the basket, not fixed-weight mathematics.
- **C - Incorrect:** Price stage is determined by index design, not substitution.
- **D - Incorrect:** The GDP deflator has a changing domestic-output composition.

Examiner trap 21: Substitution bias is about behaviour after relative-price change.

MCQ 22

A favourable base effect can reduce year-on-year inflation even when

- A. the current price index is zero
- B. the current month's price level has not fallen
- C. all item weights are removed
- D. nominal GDP equals real GDP

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Price indices are not required to become zero for annual inflation to fall.
- **B - Correct:** A high comparison-period level can lower the annual rate without current deflation.
- **C - Incorrect:** Weights remain necessary to aggregate price relatives. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** GDP equality concerns a deflator base condition, not CPI base effects.

Examiner trap 22: Base arithmetic changes a rate, not the accumulated cost of living.

MCQ 23

Which is a quality-change problem for inflation measurement?

- A. A policy-rate vote
- B. A fiscal deficit
- C. A new phone model offers much greater capability at a higher price
- D. A fall in unemployment

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Monetary governance is not a product-comparison problem.
- **B - Incorrect:** Fiscal balance affects demand but is not itself quality adjustment.
- **C - Correct:** The compiler must separate payment for improved quality from pure price increase.
- **D - Incorrect:** Labour-market change belongs to cycle analysis. It fails this question's stated measure, institution or boundary.

Examiner trap 23: A new product's higher sticker price is not automatically pure inflation.

MCQ 24

Why should old-base and new-base index levels not be directly spliced?

- A. Because inflation cannot be measured after rebasing
- B. Because every rebasing lowers inflation
- C. Because official back series are illegal
- D. Because baskets, weights and methods can differ across the series break

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Rebasing is designed to improve continuing measurement.
- **B - Incorrect:** Its effect on measured inflation is empirical, not mechanically downward.
- **C - Incorrect:** Official linking and back series are precisely the safe bridge.
- **D - Correct:** Raw levels may represent different reference structures and therefore lack direct comparability.

Examiner trap 24: A base revision is a measurement update, not a price shock.

MCQ 25

Using the Fisher approximation, an 8 per cent nominal interest rate and 5 per cent expected inflation imply an ex ante real rate of about

- A. 3 per cent
- B. 13 per cent
- C. 5 per cent
- D. -3 per cent

Answer: A.

Option-specific explanations:

- **A - Correct:** The approximation is nominal minus expected inflation: 8 minus 5.
- **B - Incorrect:** Adding inflation gives a nominal-plus-inflation number, not the real rate.
- **C - Incorrect:** Expected inflation alone is not the real return. It fails this question's stated measure, institution or boundary.
- **D - Incorrect:** The sign would be negative only if expected inflation exceeded the nominal rate.

Examiner trap 25: Ex ante real interest uses expected, not necessarily realised, inflation.

MCQ 26

Unexpected inflation under a fixed-rate nominal loan generally

- A. benefits the lender because money gains purchasing power
- B. reduces the real burden on the borrower and the real return to the lender
- C. leaves both parties unaffected
- D. guarantees the borrower a higher income

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Inflation lowers the purchasing power of fixed repayments.
- **B - Correct:** The same nominal repayment transfers less real value from borrower to lender.
- **C - Incorrect:** A nominal contract is affected when actual inflation differs from expectation.
- **D - Incorrect:** Debt relief does not guarantee that the borrower's income rises.

Examiner trap 26: The redistribution result changes for floating-rate or indexed contracts.

MCQ 27

Inflation tax most directly describes

- A. a statutory surcharge on capital gains
- B. every increase in indirect tax
- C. erosion of the real value of non-interest-bearing money balances
- D. the RBI's policy rate

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A legislated capital-gains charge is an explicit tax, not the inflation-tax concept.
- **B - Incorrect:** Indirect taxes can raise prices but are not synonymous with inflation tax.
- **C - Correct:** Money holders lose real purchasing power as the price level rises.
- **D - Incorrect:** The repo rate is a monetary-policy instrument. It fails this question's stated measure, institution or boundary.

Examiner trap 27: Inflation tax is an economic incidence, not necessarily a tax statute.

MCQ 28

Which statement about indexed contracts is strongest?

- A. They eliminate every distributional effect of inflation
- B. They always use WPI
- C. They guarantee a positive real return
- D. They reduce exposure to the named index but retain basis, lag and coverage risks

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Unindexed assets, taxes, timing and employment can still redistribute.
- **B - Incorrect:** Contracts may use CPI-IW, CPI or another benchmark. It fails this question's stated measure, institution or boundary.
- **C - Incorrect:** Indexation can preserve a benchmark relation but not guarantee all real outcomes.
- **D - Correct:** The chosen index may differ from the person's basket and update after a delay.

Examiner trap 28: Indexation transfers index-design risk into the contract.

MCQ 29

The expectations-augmented Phillips curve implies that

- A. a short-run trade-off may exist, but it cannot be permanently exploited after expectations adjust
- B. higher inflation permanently fixes structural unemployment
- C. supply shocks always reduce inflation
- D. the long-run curve is horizontal

Answer: A.

Option-specific explanations:

- **A - Correct:** Unexpected demand changes can affect output temporarily; adjustment removes a permanent trade-off.
- **B - Incorrect:** Skills, matching and institutions are not repaired by surprise inflation.
- **C - Incorrect:** Adverse supply shocks can raise inflation and unemployment together.
- **D - Incorrect:** The long-run formulation is conventionally vertical at the equilibrium unemployment rate.

Examiner trap 29: Short-run non-neutrality does not imply a permanent policy menu.

MCQ 30

NAIRU is best described as

- A. the legally mandated minimum unemployment rate
- B. an estimated unemployment rate consistent with non-accelerating inflation
- C. the unemployment rate at every trough
- D. the same as zero unemployment

Answer: B.

Option-specific explanations:

- **A - Incorrect:** No statute fixes a universal NAIRU. It fails this question's stated measure, institution or boundary.
- **B - Correct:** It is an estimated equilibrium concept tied to stable inflation dynamics.
- **C - Incorrect:** A cyclical trough need not equal the structural unemployment benchmark.
- **D - Incorrect:** Frictional and structural unemployment make zero an inappropriate identity.

Examiner trap 30: NAIRU is uncertain and can change with labour-market structure.

MCQ 31

Which phase sequence is a valid stylised business cycle?

- A. Peak -> expansion -> recovery -> trough
- B. Recovery -> recession -> expansion -> peak
- C. Trough -> recovery -> expansion -> peak -> contraction
- D. Inflation -> CPI -> WPI -> GDP

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Expansion normally precedes the peak rather than follows it.
- **B - Incorrect:** Recovery normally leads into expansion, not immediate recession.
- **C - Correct:** The sequence correctly moves from low activity through expansion to downturn.
- **D - Incorrect:** Price indices are measures, not cycle phases. It fails this question's stated measure, institution or boundary.

Examiner trap 31: Actual cycles are irregular even when the teaching sequence is stylised.

MCQ 32

Why is the two-negative-quarter rule insufficient by itself for India?

- A. India has no quarterly GDP estimates
- B. Only WPI can date a recession
- C. Annual growth can never be used
- D. Seasonal adjustment, breadth, revisions and the absence of one statutory dating committee require a wider dashboard

Answer: D.

Option-specific explanations:

- **A - Incorrect:** MoSPI publishes quarterly national accounts. It fails this question's stated measure, institution or boundary.
- **B - Incorrect:** WPI is a price index and cannot alone date activity cycles.
- **C - Incorrect:** Annual data remain relevant, though less timely for turning points.
- **D - Correct:** A technical rule is a shorthand and does not establish severity or economy-wide diffusion.

Examiner trap 32: State whether growth is year-on-year or seasonally adjusted quarter-on-quarter.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ ROUTES AND KEY DISCIPLINE

The following seven demands are retained from the repository's audited routing ledgers and local official-paper OCR. No final official/local answer key is available here for the four objective questions, and UPSC does not publish official model answers for the three descriptive questions. Therefore every verified PYQ carries the exact withholding sentence rather than an inferred official answer.

PYQ 1 - UPSC Mains 2019, GS Paper III, Question 2

Question: Do you agree with the view that steady GDP growth and low inflation have left the Indian economy in good shape? Give reasons in support of your arguments. (Answer in 150 words)

Answer withheld pending official UPSC key.

Answer route: Define the apparent favourable combination; test employment, investment, credit, distribution and sectoral balance; distinguish cyclical low inflation from demand weakness; conclude that headline aggregates require a broader macro dashboard.

PYQ 2 - UPSC Prelims 2020, GS Paper I, Question 67

Question: Consider the following statements:

1. The weightage of food in Consumer Price Index (CPI) is higher than that in Wholesale Price Index (WPI).
2. The WPI does not capture changes in the prices of services, which CPI does.
3. Reserve Bank of India has now adopted WPI as its key measure of inflation and to decide on changing the key policy rates.

Which of the statements given above is/are correct?

- A. 1 and 2 only
- B. 2 only
- C. 3 only
- D. 1, 2 and 3

Answer withheld pending official UPSC key.

Concept audit: Apply the series applicable to the question year, distinguish consumer and wholesale coverage, and do not retrofit the 2026 base revisions into a 2020 paper.

PYQ 3 - UPSC Prelims 2021, GS Paper I, Question 4

Question: Consider the following statements. Other things remaining unchanged, market demand for a good might increase if:

1. the price of its substitute increases;
2. the price of its complement increases;
3. the good is an inferior good and income of the consumers increases;
4. its price falls.

Which of the above statements are correct?

Answer withheld pending official UPSC key.

Concept audit: A substitute-price increase and own-price fall can raise demand or quantity demanded respectively; a complement-price increase and higher income for an inferior good work in the opposite direction. Preserve the demand-versus-quantity-demand distinction.

PYQ 4 - UPSC Prelims 2021, GS Paper I, Question 10

Question: Which one of the following is likely to be the most inflationary in its effects?

- A. Repayment of public debt
- B. Borrowing from the public to finance a budget deficit
- C. Borrowing from banks to finance a budget deficit
- D. Creation of new money to finance a budget deficit

Answer withheld pending official UPSC key.

Concept audit: Compare direct reserve-money creation with financing that reallocates existing purchasing power; retain the qualification that final inflation also depends on slack, velocity and supply.

PYQ 5 - UPSC Prelims 2021, GS Paper I, Question 12

Question: With reference to the Indian economy, demand-pull inflation can be caused or increased by which of the following?

1. Expansionary policies
2. Fiscal stimulus
3. Inflation-indexing wages
4. Higher purchasing power
5. Rising interest rates

Answer withheld pending official UPSC key.

Concept audit: Separate initial aggregate-demand impulses from persistence mechanisms and contractionary interest-rate effects.

PYQ 6 - UPSC Mains 2022, GS Paper II, Question 16

Question: Besides the welfare schemes, India needs deft management of inflation and unemployment to serve the poor and the underprivileged sections of the society. Discuss. (Answer in 250 words)

Answer withheld pending official UPSC key.

Answer route: Link food-weighted real-income loss, unindexed informal work, the employment cost of blunt disinflation, supply repair, labour-intensive growth, skills and targeted protection.

PYQ 7 - UPSC Mains 2024, GS Paper III, Question 2

Question: What are the causes of persistent high food inflation in India? Comment on the effectiveness of the monetary policy of the RBI to control this type of inflation. (Answer in 150 words)

Answer withheld pending official UPSC key.

Answer route: Classify production, climate, storage, logistics, trade, imported-input and expectation channels; credit RBI for anchoring second-round effects but assign physical bottlenecks to fiscal and supply policy.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish inflation, disinflation, deflation, reflation and stagflation. Answer in 150 words.

Model answer:

Inflation is a sustained rise in the general price level; its rate is the percentage change in a stated index. Disinflation means this positive rate falls, so prices may still rise. Deflation is a sustained fall in the general price level and can increase real debt burdens and weaken output. Reflation is deliberate policy support to restore demand and prices from depressed conditions. Stagflation combines inflation with stagnant output and weak employment, often after an adverse supply shock.

India's pandemic experience shows why the distinctions matter: logistics disruption raised essential prices despite slack. Demand-led inflation supports restraint; supply-led stagflation requires bottleneck repair plus credible expectation management. A single commodity spike is not automatically general inflation, while lower inflation does not restore the old price level. Precise vocabulary is therefore the first step in policy assignment.

ORIGINAL MAINS 2 - 10 MARKS

Question: Compare CPI, WPI and the GDP deflator as inflation measures. Answer in 150 words.

Model answer:

CPI measures retail prices of a representative household-consumption basket. It includes goods, services and imported consumption; headline CPI is India's policy anchor. MoSPI introduced the current 2024=100 series on 12 February 2026 with HCES 2023-24 weights.

WPI, compiled by the Office of Economic Adviser, DPIIT, tracks wholesale/basic prices of goods and excludes services. Its 2022-23-base series was released for May 2026. It signals commodity and pipeline cost pressure but is not a household cost-of-living index.

The GDP deflator equals nominal GDP divided by real GDP multiplied by 100. It covers domestically produced final goods and services, excludes imports directly and has a changing production mix. It is broad but revised with national accounts and less timely monthly. Thus CPI suits consumer welfare and targeting, WPI pipeline analysis, and the deflator domestic-output prices.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain the major sources of inflation in India and show how headline, core, food and fuel measures aid diagnosis. Answer in 250 words.

Model answer:

Inflation is a sustained rise in the general price level, but its policy meaning depends on source, breadth and persistence. Demand-pull inflation arises when aggregate spending exceeds available capacity; fiscal stimulus, rapid credit growth or strong purchasing power can close the output gap. Cost-push inflation follows higher wages, taxes, freight or input prices. Supply shocks arise from crop loss, storage and transport failures or administered-price changes. Imported inflation transmits global crude, edible-oil, fertiliser and freight costs through the exchange rate and domestic supply chains.

Headline CPI records the full consumer basket and therefore captures the prices households actually face. CFPI isolates food pressure, while fuel components reveal energy pass-through. Core inflation, conventionally headline excluding food and fuel, helps assess underlying persistence; however, it is an analytical construct and can itself be distorted by unusual items. Economic Survey 2025-26, for example, examined precious metals when interpreting core pressure.

The categories interact. A vegetable shock is initially relative and supply-led, but repeated shocks can alter wages, margins and expectations. Rural inflation may also be more volatile because food has a larger budget role. Policy must therefore combine RBI action against broad demand and second-round effects with buffers, logistics, calibrated trade, tax measures and productivity improvements. The qualification is crucial: no component is dispensable, and no single index reproduces every household's experienced inflation.

ORIGINAL MAINS 4 - 15 MARKS

Question: Examine the welfare and distributional effects of inflation through real wages, interest rates, debt and indexation. Answer in 250 words.

Model answer:

Inflation changes welfare by altering real purchasing power and the value of nominal contracts. A worker whose money wage rises more slowly than CPI suffers a real-wage loss. The same applies to pensions and fixed incomes, with a sharper burden on poorer households because food and fuel occupy larger budget shares and cash forms a greater share of liquid wealth.

The Fisher relation shows the interest channel: the ex ante real rate is approximately the nominal rate minus expected inflation. Unexpected inflation lowers the real value of fixed nominal repayment, benefiting a fixed-rate borrower and hurting the lender; unexpected deflation reverses the transfer. This result is not universal because floating rates reprice and borrowers may lose employment or income during tightening.

Inflation tax is the erosion of real non-interest-bearing money balances. Governments may receive seigniorage or nominal tax gains, but also face higher indexed expenditure, welfare pressure and borrowing costs. CPI-IW-linked dearness allowance protects many covered employees and pensioners, demonstrating the value of indexation. Yet informal workers often lack such protection, and every indexed contract retains basis and adjustment-lag risk.

Thus inflation is distributional, not merely aggregate. Policy should anchor expectations, protect vulnerable households through targeted support and avoid assuming that one national CPI matches every household's basket or that all borrowers gain.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically examine the Phillips curve and output gap as guides to inflation management in India. Answer in 250 words.

Model answer:

The short-run Phillips curve links lower economic slack with stronger wage and price pressure. Where wages and prices adjust slowly, unexpected demand expansion can temporarily raise output and employment, creating an inverse inflation-unemployment relation. The output gap operationalises this logic by comparing actual output with estimated potential output.

Expectations limit the trade-off. Workers and firms incorporate expected inflation into contracts and price setting, shifting the short-run curve. In the long run, unemployment returns toward a structural or equilibrium rate, producing a vertical long-run Phillips curve. NAIRU describes the estimated unemployment rate consistent with non-accelerating inflation; it is neither directly observable nor socially optimal.

Indian evidence requires caution. RBI's November 2021 Bulletin study found a convex Phillips curve, flatter at low or negative gaps and steeper at high positive gaps. This supports stronger demand pressure near capacity. Yet food, fuel, administered prices, informality and imported shocks can raise inflation during slack, as the pandemic illustrated. Potential output is also model-dependent and revised with national accounts.

Therefore the curve and gap are useful inputs, not automatic rules. RBI should combine them with inflation expectations, breadth, credit and external conditions. Government must address agriculture, logistics and energy supply. The qualified conclusion is that stabilisation works best when demand management anchors persistence while structural policy expands potential output.

ORIGINAL MAINS 6 - 20 MARKS

Question: Design a coordinated Indian policy response to persistent food and imported inflation without sacrificing medium-term growth. Answer in 250 words.

Model answer:

Persistent food and imported inflation requires diagnosis before restraint. Separate crop and weather losses, perishability, storage and transport gaps, market concentration, trade-policy uncertainty, global commodity prices, freight, exchange-rate pass-through and second-round expectations. CFPI and item-level CPI identify household pressure; WPI goods groups reveal pipeline costs, but neither alone proves the source.

Immediate policy should protect consumption and unblock supply. Transparent buffer releases, faster inter-state movement, anti-hoarding enforcement and calibrated imports can address temporary shortages. Targeted transfers or food support protect vulnerable households without universal price suppression. Fuel-tax or subsidy adjustment may soften imported energy pass-through, but its fiscal cost and conservation effect must be explicit.

Medium-term policy should improve irrigation, climate-resilient seeds, storage, cold chains, market information, competition, processing and energy diversification. Predictable trade rules preserve producer incentives better than abrupt bans. Public investment that raises logistics and farm productivity shifts potential supply outward.

RBI should anchor headline-CPI expectations and prevent food or fuel shocks from spreading into wages and margins. Rate policy, however, cannot produce vegetables or crude oil; excessive tightening during slack can harm MSMEs and jobs. Fiscal support must remain targeted so it does not recreate excess demand.

The optimal mix is therefore sequenced: relief and logistics now, credible monetary signalling against persistence, and productivity-enhancing supply reform for durable price stability with growth.

OPTIONAL ADVANCED DEPTH - NOT REQUIRED FOR A CORE ANSWER

OPTIONAL ADVANCED 1 - Inflation expectations and credibility

Expectations may be adaptive, forward-looking or a mixture. If households and firms trust the target and communication, a temporary relative-price shock is less likely to become a wage-price spiral. Credibility therefore reduces the sacrifice ratio, but credibility is earned through a coherent reaction function and cannot replace food or energy supply.

OPTIONAL ADVANCED 2 - Non-linearity of the Phillips curve

RBI's November 2021 research estimates a convex Indian Phillips curve: inflation responds weakly when the output gap is low or negative and more sharply at high positive gaps. The policy implication is state-dependence, not a permanent numerical threshold. Model, sample and revised-data uncertainty remain.

OPTIONAL ADVANCED 3 - Index decomposition and contribution

An item's contribution depends on its weight and price movement, while second-round importance depends on linkages and expectations. A low-weight imported input can matter widely through transport or production chains; a high-weight food item can dominate headline welfare without being interest-sensitive. Contribution is accounting; pass-through is causal.

OPTIONAL ADVANCED 4 - Chain, linking and revision discipline

Rebasing resets the reference index and updates weights, coverage and method. MoSPI's CPI 2024 back series uses official linking factors based on the 2025 overlap; OEA provides reference linking factors for WPI major groups but warns users to choose methods cautiously. An index break must never be narrated as a sudden price shock.

OPTIONAL ADVANCED 5 - Real-time output-gap and cycle uncertainty

Potential output, trend and seasonal factors are estimated rather than observed. End-point problems, revisions and structural breaks can change the historical gap. A robust policy dashboard therefore combines model estimates with capacity utilisation, employment, credit, demand, inventories and price breadth.

OPTIONAL ADVANCED 6 - Inflation targeting under supply dominance

Headline targeting remains defensible because citizens experience food and fuel and persistent shocks can generalise. The qualification is flexible horizon and calibrated response: policy may look through a temporary first-round shock while acting against expectations and demand spillovers. Detailed instruments, operating framework and liquidity belong to Economy Topic 4.

CONSOLIDATED REGISTER NOTES

1. Vocabulary and diagnostic first principles

- Price level is the index reading; inflation is its change.
- Inflation: sustained general price-level rise.
- Disinflation: positive inflation slows; prices need not fall.
- Deflation: sustained general price-level fall.
- Reflation: deliberate restoration of demand/prices from depressed conditions.
- Stagflation: inflation with weak growth or high unemployment.
- Hyperinflation: extreme accelerating inflation with destabilised money demand and expectations.
- Diagnose source, breadth, persistence, expectations and cycle position before prescribing.

2. Cause map

- Demand-pull: aggregate demand grows faster than available output.
- Cost-push/supply: input cost or physical supply is impaired.
- Imported: world prices, freight, duties and exchange rate transmit domestically.
- Built-in: wages, margins, contracts and expectations propagate persistence.
- Food and fuel can be first-round relative shocks; core is an analytical persistence lens.

3. CPI official decoder - status dated 12 February 2026

- Compiler: Ministry of Statistics and Programme Implementation (MoSPI), National Statistical Office (NSO).
- Purpose: household retail-price change; CPI headline is the monetary-policy target.
- Current base: 2024=100; weight source: HCES 2023-24; base prices: calendar 2024.
- Structure: 358 weighted items; COICOP 2018; 12 divisions, 43 groups, 92 classes, 162 subclasses.
- Formula: Jevons at elementary level; Young/Modified Laspeyres at higher aggregation.
- Geography: Rural, Urban and Combined; Combined uses corresponding weights.
- CFPI: official food-focused consumer sub-index. Core: analytical, commonly headline less food and fuel.
- Combined 2024 division weights: food/beverages 36.753; paan/tobacco/intoxicants 2.989; clothing/footwear 6.383; housing/utilities 17.665; furnishings/maintenance 4.469; health 6.100; transport 8.796; information/communication 3.609; recreation/sport/culture 1.516; education services 3.333; restaurants/accommodation 3.348; personal care/social protection/miscellaneous 5.038.

4. Specialised CPI decoder - status checked 9 September 2026

- Labour Bureau CPI-IW: 2016=100; 2016 working-class family survey weights; industrial-worker cost-of-living/indexation use.
- Labour Bureau CPI-AL and CPI-RL: 2019=100; revised series implemented June 2025; separate agricultural-labour and rural-labour consumption weights.
- Never substitute these population-specific indices for CPI Combined without explaining purpose.

5. WPI official decoder - releases dated 1 and 15 June 2026

- Compiler: Office of Economic Adviser, DPIIT, Ministry of Commerce and Industry.
- Current base: 2022-23=100; introduced for May 2026.
- Basket: 957 goods; no services in WPI.
- Major weights: Primary Articles 22.75730; Fuel and Power 14.11433; Manufactured Products 63.12837.
- Weight basis: Gross Value of Output; WPI/basic-price architecture.
- Separate products: Output PPI, trial manufacturing Input PPI and seven Service PPIs.
- Official transition: WPI is to coexist with PPI for five years from 15 June 2026 before discontinuation; this is a dated plan, not completed cessation.

6. GDP deflator and formula box

```
GDP deflator = (nominal GDP / real GDP) x 100
```

- Broad domestic final-output price measure.
- Variable production mix; conceptually current-output-weighted.
- Exports included as domestic output; imports excluded directly.
- Quarterly/annual national-accounts use; revised with GDP vintages; not a monthly cost-of-living index.

7. Index-number concepts

- Laspeyres: `sum(ptq0) / sum(p0q0) x 100`.
- Paasche: `sum(ptqt) / sum(p0qt) x 100`.
- Fisher: `sqrt(Laspeyres x Paasche)`.
- Watch substitution, quality change, new goods, seasonal items, outlet change and missing prices.
- Base effect is comparison arithmetic; momentum is current sequential price change.
- Never splice raw index levels across bases without official linking/back series.

8. Real economy and distribution

- Approximate Fisher relation: `real interest ~= nominal interest - expected inflation`.
- Exact: `1+r = (1+i)/(1+expected inflation)`.
- Real wage/income depends on nominal growth relative to the relevant price index.
- Unexpected inflation erodes fixed nominal claims: fixed-rate borrower tends to gain, lender lose; deflation reverses.
- Inflation tax erodes non-interest-bearing money balances.
- Indexed contracts reduce exposure but retain basis, coverage and lag risk.

9. Phillips curve and business cycle

- Short run: demand pressure can reduce slack and raise inflation.
- Expectations adjustment shifts the short-run curve; no permanent long-run trade-off.
- Long-run Phillips curve is vertical at an estimated equilibrium unemployment rate.
- NAIRU is unobservable, model-dependent and changing.
- Cycle: trough -> recovery -> expansion -> peak -> contraction.
- Output gap: `(actual-potential)/potential x 100`; potential output is estimated and revised.
- Leading, coincident and lagging indicators must be triangulated.
- Two negative seasonally adjusted q-o-q quarters are only a technical-recession shorthand.
- India has no single statutory business-cycle dating committee; state data, adjustment and method.

10. Policy and Topic 4 boundary

- RBI/MPC: demand, credit, exchange-rate and expectations channels with lags.
- Official 25 March 2026 status: headline-CPI target 4 per cent, tolerance 2-6 per cent, through March 2031.
- Monetary policy cannot directly create food, storage, logistics or imported energy.
- Fiscal/supply tools: buffers, trade calibration, tax/subsidy choices, logistics, competition, productivity and resilience.
- Targeted support protects welfare; it does not itself lower market prices.
- Detailed repo/liquidity operating framework belongs to Economy Topic 4.

11. High-yield traps

- Lower inflation != lower prices.
- Core can exceed headline.
- CFPI != core; WPI Food Index != CFPI.
- WPI has no services and is not cost of living.
- GDP deflator excludes imports directly and changes with output mix.
- Rebasing != a price shock.
- Base effect != current momentum.
- Technical recession != complete recession dating.
- A negative output gap does not preclude supply inflation.
- Borrower gain assumes unexpected inflation and a fixed nominal contract.

12. Mains answer spine

Define -> identify and date the index -> diagnose demand/supply/imported/expectations -> locate cycle and output gap -> trace real income, interest and distribution -> assign monetary, fiscal and supply tools -> state lag, incentive, measurement and causation limits -> conclude with credible price stability plus productive capacity and targeted protection.

COMPLETE TOPIC ASCII MASTER FLOW DIAGRAM

```
ASCII MASTER FLOW - PANEL 1/12: PRICE LEVEL AND RATE
+----------------------------------------------------------------+
| Price level = index at a date                                  |
| Inflation = sustained rise; rate = % change in stated index   |
| disinflation: rate down, level may rise | deflation: level down|
| reflation: recovery from depressed prices/demand               |
| stagflation: inflation + weak growth/jobs | hyper: explosive  |
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ASCII MASTER FLOW - PANEL 2/12: CAUSAL TAXONOMY
+----------------------------------------------------------------+
| demand > capacity -> demand-pull                               |
| input/supply disruption -> cost-push                           |
| world price + exchange rate -> imported inflation              |
| wages + margins + expectations -> built-in persistence         |
| first-round relative shock -> possible second-round breadth   |
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ASCII MASTER FLOW - PANEL 3/12: HEADLINE / FOOD / FUEL / CORE
+----------------------------------------------------------------+
| Headline = full selected basket                                |
| CFPI = official consumer-food sub-index                        |
| Fuel = energy component / pass-through signal                  |
| Core = analytical exclusion, commonly food and fuel removed   |
| Rule: state definition; core can exceed headline               |
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ASCII MASTER FLOW - PANEL 4/12: CPI 2024 ARCHITECTURE
+----------------------------------------------------------------+
| Compiler: MoSPI / NSO | release introducing series: 12-02-26 |
| Base 2024=100 | weights: HCES 2023-24 | 358 weighted items   |
| Rural + Urban -> Combined by corresponding weights             |
| COICOP 2018: 12 divisions | Jevons elementary                 |
| Young/Modified Laspeyres higher aggregation                    |
+----------------------------------------------------------------+
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ASCII MASTER FLOW - PANEL 5/12: CPI FAMILY AND WEIGHTS
+----------------------------------------------------------------+
| CPI Combined weights: food/beverages 36.753; housing and      |
| utilities 17.665; transport 8.796; health 6.100               |
| Labour Bureau: CPI-IW 2016=100; CPI-AL/RL 2019=100            |
| Purpose/basket differs -> do not substitute one for another   |
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ASCII MASTER FLOW - PANEL 6/12: WPI
+----------------------------------------------------------------+
| OEA, DPIIT | 2022-23=100 | first current release 15-06-2026   |
| Primary 22.75730 | Fuel 14.11433 | Manufactures 63.12837     |
| 957 goods | no services | not household cost of living       |
| separate PPI products; dated five-year WPI transition plan    |
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ASCII MASTER FLOW - PANEL 7/12: GDP DEFLATOR + INDEX FORMULAE
+----------------------------------------------------------------+
| Deflator = nominal GDP / real GDP x 100                        |
| domestic final goods/services | variable production basket   |
| imports excluded directly; exports included                   |
| Laspeyres q0 | Paasche qt | Fisher = sqrt(L x P)              |
+----------------------------------------------------------------+
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ASCII MASTER FLOW - PANEL 8/12: MEASUREMENT RISKS
+----------------------------------------------------------------+
| annual rate = current momentum + comparison-base influence    |
| seasonality != cycle | relative price != general inflation    |
| substitution | quality | new goods | outlets | missing data  |
| series break -> use official back series/link, not raw splice|
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```

```
ASCII MASTER FLOW - PANEL 9/12: REAL EFFECTS
+--------------------------------------------------------------+
| real wage/income = nominal purchasing power after inflation  |
| Fisher: r ~= i - expected inflation; exact (1+i)/(1+pi)-1    |
| unexpected inflation: fixed borrower gains, lender loses     |
| inflation tax erodes cash; indexation leaves basis/lag risk  |
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ASCII MASTER FLOW - PANEL 10/12: PHILLIPS CURVE
+--------------------------------------------------------------+
| short run: less slack can raise inflation                    |
| expectations adjust -> short-run curve shifts                |
| long run: no permanent trade-off; curve vertical             |
| NAIRU is estimated, changing, not observable or statutory    |
| supply shock -> inflation and unemployment can rise together |
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ASCII MASTER FLOW - PANEL 11/12: BUSINESS CYCLE
+--------------------------------------------------------------+
| trough -> recovery -> expansion -> peak -> contraction       |
| output gap = (actual-potential)/potential x 100               |
| leading / coincident / lagging dashboard                      |
| two negative q-o-q quarters = technical shorthand only       |
| India: seasonal adjustment + revisions; no statutory dater   |
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ASCII MASTER FLOW - PANEL 12/12: POLICY AND ANSWER SPINE
+--------------------------------------------------------------+
| define -> choose/date index -> diagnose source/breadth        |
| -> locate cycle -> trace expectations/real/distribution      |
| -> RBI for demand/expectations (Topic 4 instruments)         |
| -> fiscal/supply tools for bottlenecks + targeted protection |
| -> qualify lags, revisions, incentives -> balanced verdict   |
+--------------------------------------------------------------+
```